



Outsourcing

Firms may choose to pay outside suppliers to do work rather than complete the tasks internally. Handing over part or all of production or a service to a third party increases flexibility.

How it works

Outsourcing grew in the 1980s because firms looked to save costs by contracting peripheral business activities to third parties. But outsourcing today is no longer just about cost savings. It is a strategic tool that is increasingly important in the global economy in the 21st century. Firms may choose outsourcing for elements of the production process, for support

functions such as accounting, or because they do not have the specialized knowledge or skills within the organization. Outsourcing may be to a firm in the same country or it may be to an organization in another country. Rapid expansion of logistics networks and information technology has made it easier to outsource, thus accelerating the growth of outsourcing over the last decade.

